

Semiconductors - Asia-Pacific

PC fabless – stay cautious on margin profiles following 1Q26 earnings calls

Price Objective Change

Negative read-through for PC interface names on 1Q data

During the 1Q26 earnings calls, we observed a sluggish demand outlook (toward end-2026) from fabless companies with heavy exposure to the PC market, and these include ASMedia and Parade. On a negative note, we see both names' gross margins being pressured by rising production costs amid an inflationary environment, particularly from OSAT (outsourced semiconductor assembly/testing) suppliers.

ASMedia: reit. Neutral with PO rising to NT\$1,750

ASMedia's 1Q26 GM was pressured by inflationary manufacturing costs (including packaging/assembly), which in our view will continue to weigh on its margin profile into 2H26, alongside subdued demand across its ODM (original design manufacturer) and own-brand businesses (given the impact of surging memory prices). To elaborate, management cited a 15-20% YoY drop in 2026 demand from MB (motherboard)-related business, including AMD chipsets. Further, such impact on DIY (do-it-yourself) market (from memory prices) is expected to persist through at least 1H27. Across the company's product lines, PCIe (peripheral component interconnect express) switch seems to be one of the few bright spots, where ASMedia targets revenue contribution of 10%/20% in 2026/27. We adjust 2026-28E net income by 6-12% after incorporating 1Q26 results and updated business outlook, and our PO goes to NT\$1,750 (was NT\$1,500), still based on SOTP (sum of the parts) with the valuation period rolled over to 2H27-1H28E (from 2027E). We stay Neutral on ASMedia, eyeing benefits from continued share gain by its key customer (AMD) and content upside in PCIe switch, vs sustained headwinds in PC market demand stemming from higher memory prices.

Parade: stay U/P with PO moving to NT\$520

For Parade, we adjust 2026-28E EPS by 3-10% after factoring in 1Q26 results and the updated business outlook. Our new PO is NT\$520 (was NT\$440), which is now based on 15x P/E (was 14x) as we expect its GM (gross margin) to mark the trough in 1H26, while we roll over the valuation base to 2H26-1H27E (from 2Q26-1Q27E). That said, we expect only mild revenue/earnings growth (less than 10% YoY) during our forecast period, given the company's high concentration to the PC (personal computer) market. We thus reiterate Underperform on the stock.

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Exhibit 1: Summary of PO change

We raise PO on ASMedia and Parade in this report

Company	Ticker	PO (NT\$)	
		New	Old
ASMedia	5269 TT	1750	1500
Parade	4966 TT	520	440

Source: BofA Global Research

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Exhibit 2: Summary of changes in PO and valuation method

We raise P/E multiple applied on Parade to 15x in this report

Company	Ticker	PO (NT\$)		Valuation method	
		New	Old	New	Old
ASMedia	5269 TT	1750	1500	SOTP (unchanged)	
Parade	4966 TT	520	440	15x 2H26-1H27E P/E	14x 2Q26-1Q27E P/E

Source: BofA Global Research

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Exhibit 3: Table of recommendation

Stocks mentioned with ratings in this report

BofA ticker	Ticker	Company name	Price (LC)	Rating
XZSFF	5269 TT	ASMedia	NT\$ 1525	C-2-7
PRDWF	4966 TT	Parade	NT\$ 761	B-3-7

Source: BofA Global Research, company data

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Exhibit 4: Earnings estimate change – ASMedia

We raise 2026-28E EPS by 6-12% after baking in 1Q26 results and updated business outlook

NT\$mnn	2026E			2027E			2028E		
	New	Old	Diff	New	Old	Diff	New	Old	Diff
Revenue	13,182	13,217	-0.3%	14,119	14,171	-0.4%	16,941	17,006	-0.4%
Gross profit	6,758	6,831	-1.1%	7,363	7,404	-0.6%	8,879	8,913	-0.4%
Gross margin	51.3%	51.7%	-0.4ppt	52.2%	52.2%	-0.1ppt	52.4%	52.4%	0.0ppt
Operating income	2,913	3,138	-7.2%	3,365	3,621	-7.1%	4,483	4,724	-5.1%
Operating margin	22.1%	23.7%	-1.6ppt	23.8%	25.6%	-1.7ppt	26.5%	27.8%	-1.3ppt
Pretax income	7,921	7,578	4.5%	9,284	8,466	9.7%	11,709	10,226	14.5%
Pretax margin	60.1%	57.3%	2.8ppt	65.8%	59.7%	6.0ppt	69.1%	60.1%	9.0ppt
Net income (A)	7,133	6,748	5.7%	8,130	7,511	8.2%	10,086	9,001	12.1%
EPS (NT\$)	95.39	90.24	5.7%	108.73	100.45	8.2%	134.88	120.37	12.1%

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 5: BofAe vs consensus - ASMedia

We are 8%/6% ahead of consensus for 2026/27E EPS, due mainly to the assumption of stronger non-op investment gain

NT\$mnn	2026E			2027E		
	BofA	Consensus	Diff	BofA	Consensus	Diff
Revenue	13,182	14,774	-10.8%	14,119	15,906	-11.2%
Gross profit	6,758	7,712	-12.4%	7,363	8,430	-12.7%
Gross margin	51.3%	52.2%	-0.9ppt	52.2%	53.0%	-0.8ppt
Operating income	2,913	4,367	-33.3%	3,365	4,985	-32.5%
Operating margin	22.1%	29.6%	-7.5ppt	23.8%	31.3%	-7.5ppt
Pretax income	7,921	7,510	5.5%	9,284	8,714	6.5%
Pretax margin	60.1%	50.8%	9.3ppt	65.8%	54.8%	11.0ppt
Net income	7,133	6,634	7.5%	8,130	7,702	5.6%
EPS (NT\$)	95.39	88.72	7.5%	108.73	103.00	5.6%

Source: BofA Global Research estimates, Bloomberg

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Exhibit 6: Income statement – ASMedia

We expect the company's revenue to drop by 2% in 2026, then followed by a mild recovery of 7% YoY in 2027

NT\$mnn; %	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Revenue	3,498	3,123	3,306	3,255	3,318	3,287	3,707	3,806	13,415	13,182	14,119	16,941
Cost of Revenue	(1,721)	(1,526)	(1,609)	(1,567)	(1,600)	(1,576)	(1,769)	(1,811)	(6,409)	(6,424)	(6,755)	(8,062)
Gross profit	1,777	1,596	1,697	1,687	1,719	1,712	1,938	1,995	7,005	6,758	7,363	8,879
Operating exp	(969)	(923)	(998)	(954)	(977)	(983)	(1,002)	(1,037)	(3,046)	(3,844)	(3,999)	(4,396)
Operating income	808	673	699	734	742	729	936	958	3,959	2,913	3,365	4,483
Non-opt income (expense), net	1,128	1,329	1,342	1,209	1,238	1,390	1,639	1,652	2,266	5,008	5,920	7,226
Income before tax	1,936	2,002	2,041	1,942	1,980	2,119	2,575	2,610	6,225	7,921	9,284	11,709
Income Tax	(82)	(287)	(190)	(229)	(199)	(266)	(349)	(341)	(799)	(788)	(1,154)	(1,623)
Net income	1,854	1,715	1,851	1,713	1,782	1,853	2,226	2,269	5,426	7,133	8,130	10,086
Minority	-	-	-	-	-	-	-	-	-	-	-	-
Net income attributable to Parent's shareholders	1,854	1,715	1,851	1,713	1,782	1,853	2,226	2,269	5,426	7,133	8,130	10,086
Diluted EPS (US\$)	24.793	22.935	24.758	22.907	23.828	24.777	29.772	30.350	72.70	95.39	108.73	134.88
Margin; tax rate												
Gross margin	51%	51%	51%	52%	52%	52%	52%	52%	52%	51%	52%	52%
Operating expenses	28%	30%	30%	29%	29%	30%	27%	27%	23%	29%	28%	26%
Operating margin	23%	22%	21%	23%	22%	22%	25%	25%	30%	22%	24%	26%
Pretax margin	55%	64%	62%	60%	60%	64%	69%	69%	46%	60%	66%	69%
Net margin	53%	55%	56%	53%	54%	56%	60%	60%	40%	54%	58%	60%
Tax rate	4%	14%	9%	12%	10%	13%	14%	13%	13%	10%	12%	14%
Sequential growth %												
Revenue	-1%	-11%	6%	-2%	2%	-1%	13%	3%	66%	-2%	7%	20%
Gross profit	-2%	-10%	6%	-1%	2%	0%	13%	3%	60%	-4%	9%	21%
Operating exp	-4%	-5%	8%	-4%	2%	1%	2%	4%	49%	26%	4%	10%
Operating income	0%	-17%	4%	5%	1%	-2%	28%	2%	70%	-26%	15%	33%
Net income	24%	-7%	8%	-7%	4%	4%	20%	2%	45%	31%	14%	24%

Source: BofA Global Research estimates, company data

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Exhibit 7: Earnings estimate change - Parade

We raise 2026-28E EPS by 3-10% after baking in 1Q26 results and updated business outlook

NT\$mnn	2026E			2027E			2028E		
	New	Old	Diff	New	Old	Diff	New	Old	Diff
Revenue	17,262	16,791	3%	17,917	17,692	1%	19,766	18,414	7%
Gross profit	6,975	6,956	0%	7,299	7,361	-1%	8,119	7,726	5%
Gross margin	40.4%	41.4%	-1.0ppt	40.7%	41.6%	-0.9ppt	41.1%	42.0%	-0.9ppt
Opt income	2,613	2,484	5%	2,842	2,778	2%	3,422	3,098	10%
OPM	15.1%	14.8%	0.3ppt	15.9%	15.7%	0.2ppt	17.3%	16.8%	0.5ppt
Pretax income	2,856	2,742	4%	3,128	3,054	2%	3,728	3,397	10%
Pretax margin	16.5%	16.3%	0.2ppt	17.5%	17.3%	0.2ppt	18.9%	18.4%	0.4ppt
Net income	2,600	2,489	4%	2,848	2,773	3%	3,395	3,084	10%
EPS (NT\$)	32.63	31.12	5%	35.62	34.68	3%	42.45	38.57	10%

Source: BofA Global Research estimates

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Exhibit 8: BofAe vs consensus - Parade

We are 3-12% below consensus for 2026-28E EPS, due mainly to our assumptions of softer revenue growth and gross margin

NT\$mnn	2026E			2027E			2028E		
	BofA	Consensus	Diff	BofA	Consensus	Diff	BofA	Consensus	Diff
Revenue	17,262	17,312	0%	17,917	18,974	-6%	19,766	20,785	-5%
Gross profit	6,975	7,115	-2%	7,299	7,931	-8%	8,119	8,834	-8%
GPM	40.4%	41.1%	-0.7ppt	40.7%	41.8%	-1.1ppt	41.1%	42.5%	-1.4ppt
Opt income	2,613	2,704	-3%	2,842	3,285	-13%	3,422	3,918	-13%
OPM	15.1%	15.6%	-0.5ppt	15.9%	17.3%	-1.5ppt	17.3%	18.9%	-1.5ppt
Pretax income	2,856	2,944	-3%	3,128	3,637	-14%	3,728	4,241	-12%
Pretax margin	16.5%	17.0%	-0.5ppt	17.5%	19.2%	-1.7ppt	18.9%	20.4%	-1.5ppt
Net income	2,600	2,676	-3%	2,848	3,281	-13%	3,395	3,853	-12%
EPS (NT\$)	32.63	33.58	-3%	35.62	41.03	-13%	42.45	48.19	-12%

Source: BofA Global Research estimates, Bloomberg

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Exhibit 9: Income statement - Parade

We expect the company's gross margin to hover at 40-41%, while recording single-digit% revenue CAGR during 2026-28

NT\$mnn; %	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Revenue	3,990	4,229	4,567	4,476	4,118	4,283	4,711	4,805	16,531	17,262	17,917	19,766
Cost of Revenue	(2,382)	(2,527)	(2,720)	(2,659)	(2,444)	(2,538)	(2,791)	(2,845)	(9,496)	(10,288)	(10,618)	(11,647)
Gross profit	1,608	1,702	1,847	1,817	1,674	1,745	1,920	1,960	7,035	6,975	7,299	8,119
Operating exp	(1,068)	(1,072)	(1,111)	(1,111)	(1,055)	(1,073)	(1,151)	(1,179)	(4,326)	(4,362)	(4,457)	(4,697)
Operating income	540	630	737	706	619	673	769	782	2,709	2,613	2,842	3,422
Non-opt net	42	65	68	68	68	71	74	73	273	244	286	307
Income before tax	582	695	804	775	687	744	842	855	2,982	2,856	3,128	3,728
Income Tax	(53)	(62)	(72)	(69)	(62)	(66)	(75)	(76)	(256)	(256)	(280)	(334)
Net income	529	633	732	705	625	677	767	778	2,727	2,600	2,848	3,395
EPS (NT\$)	6.73	7.92	9.16	8.82	7.82	8.47	9.59	9.73	34.63	32.63	35.62	42.45
Margin; tax rate												
Gross margin	40%	40%	40%	41%	41%	41%	41%	41%	43%	40%	41%	41%
Operating expenses	27%	25%	24%	25%	26%	25%	24%	25%	26%	25%	25%	24%
Operating margin	14%	15%	16%	16%	15%	16%	16%	16%	16%	15%	16%	17%
Pretax margin	15%	16%	18%	17%	17%	17%	18%	18%	18%	17%	17%	19%
Net margin	13%	15%	16%	16%	15%	16%	16%	16%	16%	15%	16%	17%
Tax rate	9%	9%	9%	9%	9%	9%	9%	9%	7%	7%	10%	10%
Sequential growth %												
Revenue	3%	6%	8%	-2%	-8%	4%	10%	2%	2%	4%	4%	10%
Gross profit	-2%	6%	9%	-2%	-8%	4%	10%	2%	2%	-1%	5%	11%
Operating exp	-3%	0%	4%	0%	-5%	2%	7%	2%	-3%	1%	2%	5%
Operating income	2%	17%	17%	-4%	-12%	9%	14%	2%	10%	-4%	9%	20%
Net income	-3%	20%	16%	-4%	-11%	8%	13%	1%	5%	-5%	10%	19%

Source: BofA Global Research estimates, company data

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Price objective basis & risk

ASMedia Technology Inc. (XZSFF)

Our NT\$1,750 PO is based on SOTP (sum of the parts) method, where we incorporate 1) 18x 2027E P/E on its core business backed by 24% CAGR across 2026-28E, 2) the 11x 2027E P/E that we apply on WT Micro, where ASMedia holds around 19% stake and generates investment gain, and 3) net cash per share of close to NT\$80. We also see that the valuation being underpinned by 1) ROE to recover to 25%/33% in 2027/28E and 2) NT\$65 free cash flow generated per share in 2027-28E.

Upside risks are 1) higher USB controller revenue on the host side following the good record in AMD bundle sales, 2) faster-than-expected recovery in AMD business when substrate supply becomes less a concern, 3) better-than-expected end-market demand in PC, given the digital transformation post the COVID pandemic.

Downside risks are 1) slowdown in PC-related demand, where ASMedia has 80+% revenue exposure, 2) sustained foundry supply tightness, which may hurt product delivery and gross margin, 3) share loss in the chip-design business for AMD due to competition and/or AMD's share loss in the PC end market.

Parade (PRDWF)

Our PO of NT\$520 is based on 15x 2H26-1H27E EPS, at the low-to-mid-end of its valuation range since late-2016. We think 15x is justified by a flattish ROE of 11-12% in 2026-2028E.

Downside risks to our PO are (1) loss of, or a significant reduction in, orders from one of its major customers, (2) delayed shipments of new data center PCIe repeaters due to the ecosystem readiness issues, and (3) failure to develop and introduce new or enhanced standards/solutions on a timely basis.



Upside risks are (1) better-than-expected end-demand in PC, (2) better-than-expected product mix to lift overall margin profile.

Analyst Certification

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APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alchip	ALCPF	3661 TT	Haas Liu
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRI	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu
	eMemory	XYLWF	3529 TT	Mike Yang
	GigaDevice	GXGIF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Mike Yang
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDF	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	XPZCF	6239 TT	Simon Woo, CFA
	Rockchip	XRPF	603893 CH	Daley Li, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT Microelectronics	XZOPF	3036 TT	Mike Yang
NEUTRAL				
	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Kinik	KIKCF	1560 TT	Haas Liu
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	Novatek	NVKMF	3034 TT	Haas Liu
	Realtek	RLTKF	2379 TT	Mike Yang
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA
UNDERPERFORM				
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLFF	6488 TT	Mike Yang
	Hangzhou Silan Microelectronics	XDFRF	600460 CH	Daley Li, CFA
	Hua Hong Semi	HHUSF	1347 HK	Dai Shen
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Macronix International	MXICF	2337 TT	Dai Shen
	Maxscend	XMVSF	300782 CH	Daley Li, CFA
	Parade	PRDWF	4966 TT	Mike Yang
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	United Microelectronics Corp.	XUMIF	2303 TT	Haas Liu
	United Microelectronics Corp.	UMC	UMC US	Haas Liu



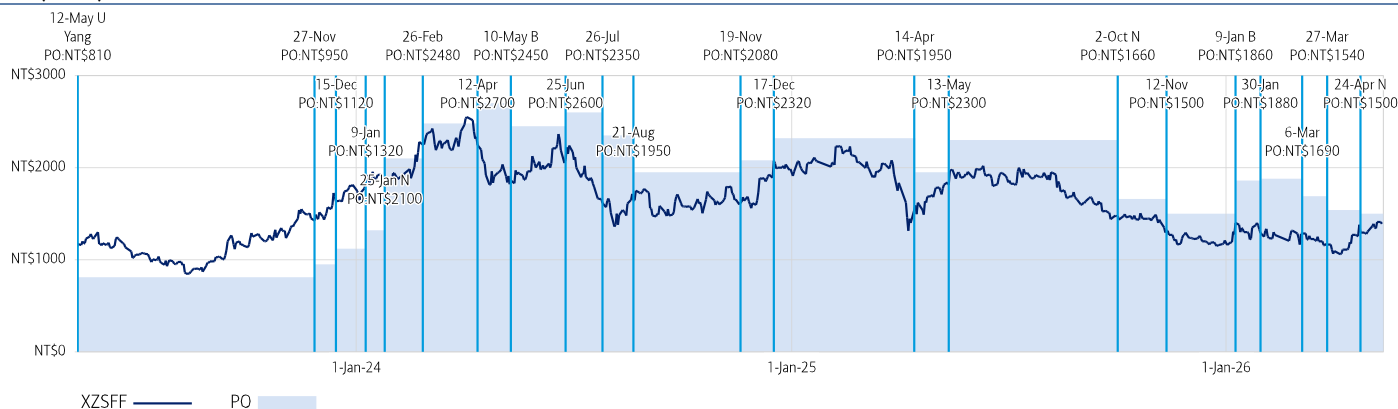
APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA
	Win Semiconductors	WSMIF	3105 TT	Haas Liu
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA

Disclosures

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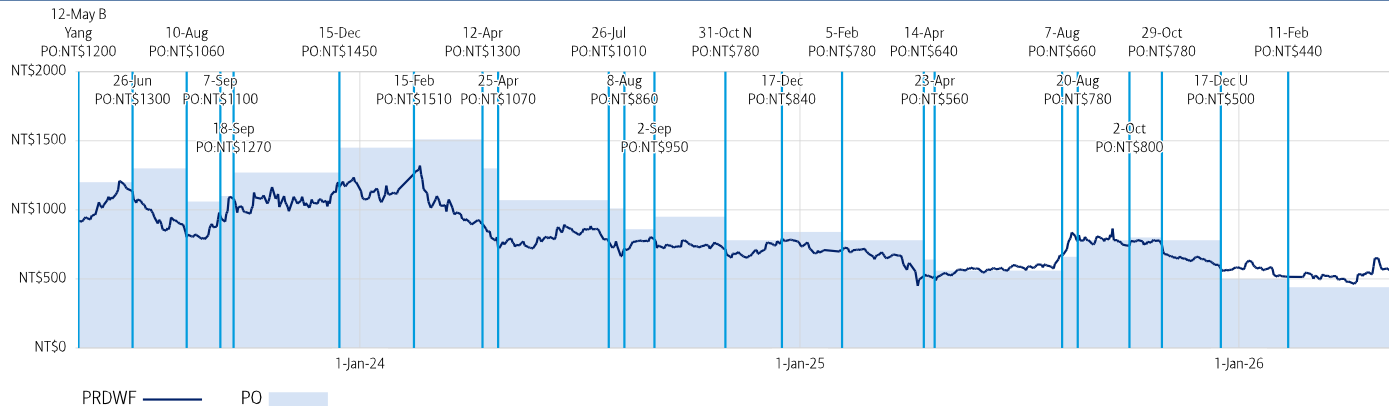
ASMedia (XZSFF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Parade (PRDWF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Equity Investment Rating Distribution: Technology Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	234	58.50%	Buy	123	52.56%
Hold	90	22.50%	Hold	43	47.78%
Sell	76	19.00%	Sell	23	30.26%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.



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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
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Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2}Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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